The Deterrent Effect of Reverse Discrimination Litigation on Public Procurement and Contracting

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The purpose of this research is to test the hypothesis that legal challenges of "reverse discrimination" have an adverse impact on the setting and the attainment of the DBE goals. Therefore, DBE goals and goal attainment are lower in states with adverse court decisions and successful ballot initiatives restricting race-conscious public programs.

Background Knowledge

There are wide racial, ethnic, and gender disparities in many markets. One market is for Public Procurement and Contracting where firms compete for federal, state, and local contracts worth billions of dollars for publicly funded projects. Many of these projects involve significant funding from the United States Department of Transportation (DOT) for heavy construction activities in the building, design, and maintenance of roads, bridges and highways.

There is a large disparity between contracts granted to white male owned firms compared to female and minority-owned business enterprises (Echaustegui, et al. 1997). Myers (2012) found that use of public funds to undertake transportation projects has the potential to passively contribute to historic disparities in the private market. Everything that a state does on its highways, transit systems, and airports is affected by the dollars received from the federal government (Myers 2012).

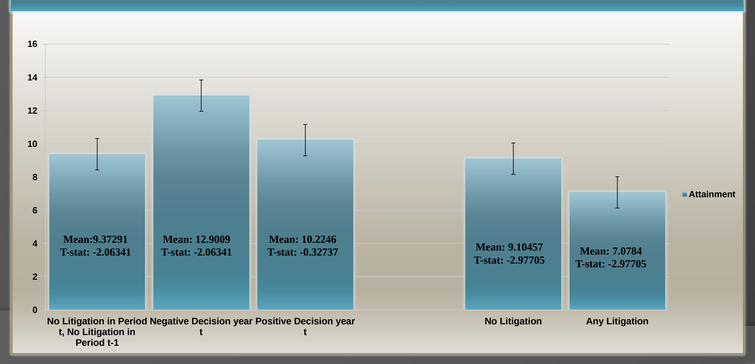
Disadvantaged Business Enterprise



DOT mandated programs and policies are designed to remedy current/ongoing disparities in the awarding of contract dollars to women and minority owned business enterprises (Myers 2012). DOT's Disadvantaged Business Enterprise program provides socially and economically disadvantaged individuals with equal opportunities to obtain contracts and project work. All government entities that receive federal funds from the DOT must follow their state's Disadvantaged Business Enterprise certification process.

A Disadvantaged Business Enterprise or DBE is a "for profit business concern that is 51 percent owned by one or more individuals who are both socially and economically disadvantaged or, in the case of a corporation, in which 51 percent of the stock is owned by one or more such individuals; and whose management and daily business operations are controlled by one or more of the socially and economically disadvantaged individuals who own it (49 CFR 26)."

Attainment



Hypothesis

Assumptions: Three states of the world (regarding DBE litigation)
A: Neutral - no appeals decision
B: Adverse - negative appeals decision
C: Positive - positive appeals decision
Logic: Annual Goal Submittal – Yes : DBE Goals OR No :Influential factors?

Hypothesis: $H_0 : Y[J^1 \mid J^1] = Y\ [J^2 \mid J^1]$

Variables: Y= DBE Goals, $_{t-1}$ or attainment $_{t}$ $_{t-1}$
J^1 ,$[J^2]$ = States of the world: A= Neutral, B=Adverse, C= Positive
$(J^2 \neq J^1)$
t = time period (year)

Influences: political retrenchment of affirmative action, political economy of affirmative action retrenchment, litigation, partisanship, demographics, equitable economic development, Redistributive policies

Methods

Quantitative research testing the deterrent effect of reverse discrimination Litigation on Public Procurement and Contracting

- Request FOIA Data for FHWA from 2001-2010
- Collect the Annual DBE goal of each State
- Collect yearly DBE goal per state and awarded contracts quarterly.
- Calculate DBE Attainment on Excel Spread sheet:
  SUM (b quarters)/ SUM (a quarters) =DBE Attainment for each state
- Collect the missing reports as 1: Missing 0: Not Missing
- Calculate this values for each year from 2001-2010 with FHWA Data
- Organize each state among their respective Circuit Courts of Appeal
- Calculate the mean DBE goal & attainment of each Circuit Court before and after a major court decision, positive, negative, and no decision
- Analyze results based on the year before and after neutral, adverse, and positive decisions

DBE Goals



References
Echaustegui, Maria E., Michael Fix, Pamela Loprest, Sarah C. Von der Lippe, and Douglas Wissoker. 1997. Do minority-owned business get a fair share of government contracts? Washington, D.C.: The Urban Institute.
Myers, S. L., 2012. The Deterrent Effects of Reverse Discrimination Claims on Federal Rule Compliance: The Case of Public Procurement and Contracting. 1-15.
(49 CFR 26). http://www.fhwa.dot.gov/hep/49cfr26.htm .

Results

DBE Goal Results

- There is no difference in MEAN DBE goals in a prior year with no decision (t-1) and the year of a negative litigation (t)
- There are higher goals in a prior year with no litigation (t-1) than the year of a positive decision (t) (Unexpected Result)
- The goal INCREASES when the year before is a positive decision & the year after is a no litigation.
- There is no difference between the goal the year before a negative decision and the year after a negative decision (Not Statistically Significant)
- There is no difference in the goal between any years with no decisions and those with litigation

Attainment Results

- Years with any decision have lower DBE attainment than years with no litigation
- Years with adverse decisions have higher DBE attainment than years with no litigation
- Although DBE goals are lower on average, the attainment is higher in a positive decision
- There is no difference in a negative decision the year before and after

INTERPRETATION:
Results are not consistent with the deterrence model.

Future Research

- The effects of ballot initiatives on DBE goal setting and attainment
- The effects of DBE goal setting on entrepreneurship in construction industries
- The effects of DBE goal setting on non-DBE opportunities in construction industries
- The effects of nationwide DBE collaboration (i.e. data sharing) on statewide goal attainment in construction industry
- The effects of nationwide DBE collaboration on statewide goal attainment in construction industry
- The effects of DBE opportunities in construction industry on political candidates campaign during election years

Limitations

- Results do not account for state ballot initiatives (e.g. Prop 209)
- Results are based on the US Courts of Appeal and not federal or state districts
- Results do not not control other causal factors such as: availability of DBE's, economic status of DBE's or extent of overall contracting

No-Litigation vs. Any Litigation

